HEDGEYE

Investing Ideas Newsletter: April 20, 2026

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Long: DAR, SWBI, MUSA, ENB, CZR, TJX, TSN

Short: ROP, RBLX, SPGI, ONON, OLLI, MCO, HCA, WING

LEVELS

Longs

STOCK	PREV. CLOSING PRICE	TREND RANGES		RANGE CHART
		Low End	Top End	
DAR	$57.95	$57.02	$64.65	$57.02 $57.95 $64.65
SWBI	$14.85	$14.06	$15.39	$14.06 $14.85 $15.39
MUSA	$491.13	$474.00	$525.00	$474.00 $491.13 $525.00
ENB	$52.67	$51.62	$55.21	$51.62 $52.67 $55.21
CZR	$27.22	$26.00	$29.07	$26.00 $27.22 $29.07
TJX	$160.68	$155.00	$166.00	$155.00 $160.68 $166.00
TSN	$64.82	$63.08	$66.14	$63.08 $64.82 $66.14

Shorts

STOCK	PREV. CLOSING PRICE	TREND RANGES		RANGE CHART
		Low End	Top End	
ROP	$362.44	$333.00	$370.00	$333.00 $362.44 $370.00
RBLX	$60.34	$51.91	$61.96	$51.91 $60.34 $61.96
SPGI	$442.57	$406.00	$450.00	$406.00 $442.57 $450.00

STOCK	PREV. CLOSING PRICE	TREND RANGES		RANGE CHART
		Low End	Top End	
ONON	$36.95	$31.88	$38.04	$31.88 $36.95 $38.04
OLLI	$94.82	$89.14	$98.57	$89.14 $94.82 $98.57
MCO	$455.35	$424.00	$462.00	$424.00 $455.35 $462.00
HCA	$488.00	$467.00	$510.00	$467.00 $488.00 $510.00
WING	$196.34	$145.00	$209.00	$145.00 $196.34 $209.00

Trend: A duration of three or more months

New Range Charts: We've added visualizations to show where each ticker is trading within its Risk Range™ — highlighting proximity to the Top End (TRR) or Low End (LRR).

DAR

Sector: Energy
Sector Head: Fernando Valle (Energy)

THESIS SUMMARY:

DAR is an Active Long with signal strength as rising diesel prices and widening crack spreads create a favorable margin environment for renewable diesel producers. The company benefits from a structural cost advantage because its feedstock—animal tallow and used cooking oil—has risen much more slowly than crude, allowing renewable diesel margins to expand as fuel prices increase. Additional upside catalysts include potential EPA policy updates supporting renewable diesel demand and DAR's strategic partnership with Valero, which enhances scale, distribution, and production advantages in the biofuels market.

WEEKEND UPDATE:

DAR remains a Best Idea Long as tightening biofuel and feed markets continue to expand margin upside, with Darling's feedstock control and regulatory tailwinds reinforcing the bullish setup.

- Featured in the team's recent DAR refresh, highlighting durable renewable diesel strength, tightening RIN markets from a favorable RVO outlook, and continued upside in the core

margin story

- Shares surged after DAR was added back to the Best Idea Long bucket, reflecting growing confidence that the spread between low-cost feedstocks and higher-priced end products can continue to widen in Darling's favor
- Beyond renewable diesel, fertilizer-related disruptions that could pressure Brazil sugar cane and corn yields add another supportive tailwind to both the feed and fuel sides of the business, strengthening the broader earnings outlook

SWBI

Sector: Retail
Sector Head: Brian McGough

THESIS SUMMARY:

Smith & Wesson Brands is a long as improving production and rising plant utilization are expected to drive meaningful margin expansion from depressed levels. The company is gaining market share amid competitor distraction and industry consolidation, while early signs suggest demand has already bottomed, providing incremental top-line support. With limited sell-side coverage and significant operating leverage from its fixed-cost structure, the setup offers asymmetric upside as earnings power builds over the next several years.

WEEKEND UPDATE:

SWBI remains a long bench idea as improving production utilization and competitive dislocations support a multi-quarter margin recovery and market share gains from trough levels.

- The stock trades near $15, well below prior highs, with gross margins depressed at ~26% versus a historical peak near 51%, highlighting significant upside potential as utilization improves
- Rising plant utilization at its new facility is expected to drive margins toward 35–40% over the next 6–9 months, providing meaningful fixed-cost leverage and earnings expansion
- Competitive distractions (Beretta and Sturm Ruger M&A activity) are creating an opportunity for SWBI to capture incremental market share, while limited sell-side coverage and early-cycle positioning leave room for estimate revisions and multiple expansion

Keith's Real-Time BUY Signal on April 13:

"Yes, I know CASY is $27B in cap. I wrote "smaller" cap. SWBI is a Small Cap!

Coaching Notes:

1. Same process, different ticker
2. Buyem on sale on decelerating volume,

KM"

Keith's Real-Time SELL Signal on April 14:

"We'll book another win with this one ...

Coaching Notes:

1. While we've gone from 27 (at the peak of my Short Book's performance on April 2nd) Macro ETF Shorts to 9 in the last week...
2. That doesn't mean you lose all discipline and stop booking gains on longs that are green on a day like today
3. Today is just outright panic/chasing ... so don't do that. Stop losses on UUP or a Macro Short are panic moves - they're process ones,

KM"

MUSA

Sector: Consumer Staples
Sector Head: Daniel Biolsi

THESIS SUMMARY:

MUSA is levered to fuel price volatility and rate-of-change dynamics, which drive both margin expansion and traffic through its price-led model. Its higher mix of gasoline, energy drinks, and nicotine sales positions it to benefit disproportionately from improving consumer activity and C-store category strength. With industry consolidation accelerating and a structurally advantaged sourcing model, MUSA offers a differentiated and durable way to play both energy and consumer trends.

WEEKEND UPDATE:

MUSA remains a long as elevated gas prices and accelerating industry consolidation reinforce its traffic-driven model and competitive positioning within the fragmented C-store landscape.

- Fuel margins benefit from falling oil, but traffic does not; highlighted as a logical next long idea within the C-store sector if rotating out of CASY after its S&P inclusion pop; MUSA has

signal strength

- U.S. gas prices have moved back above $4/gallon, driving increased consumer price sensitivity at the pump and funneling traffic toward Murphy's everyday low price model, where it consistently undercuts competitors by $0.10–$0.15 per gallon
- An acceleration in C-store M&A activity — alongside Yesway's IPO attempt — highlights the value of scale in a highly fragmented industry, positioning MUSA as a key consolidator with structurally advantaged fuel economics and traffic share gains

ENB

Sector: Energy
Sector Head: Fernando Valle (Energy)

THESIS SUMMARY:

Enbridge (ENB) remains a long as defensive pipeline cash flows and favorable Quad 3 macro dynamics position it to outperform amid rising energy volatility. Recent geopolitical-driven weakness in energy created a dip-buying opportunity, with capital rotating into pipelines like ENB that benefit from stable, fee-based revenue streams rather than commodity price sensitivity. With both the U.S. and global economies in Quad 3 (stagflation), ENB historically outperforms given its resilient earnings profile, strong dividend support, and insulation from demand volatility relative to more cyclical energy exposures.

WEEKEND UPDATE:

ENB remains a long as supportive energy market dislocations and continued bullish trend signal reinforce upside within pipeline infrastructure names.

- Featured in Keith's Top 5 on The Call, highlighting ENB as a preferred pipeline exposure alongside MPLX within a broader dip-buying opportunity across energy equities
- Recent geopolitical-driven volatility created a buying opportunity, with pipeline names like ENB benefiting from stable, fee-based cash flows while oil price dislocations (WTI premium to Brent) support upstream activity and volumes
- ENB continues to hold bullish TREND and Signal Strength, with the current setup representing a higher-low entry point as investors add exposure to defensive energy infrastructure with resilient cash flow visibility

CZR

Sector: Gaming Lodging & Leisure
Sector Head: Sean Jenkins

THESIS SUMMARY:

CZR remains a high-conviction long as accelerating Las Vegas fundamentals and improving demand trends drive near-term earnings upside, independent of M&A optionality. RevPAR growth, stable gaming performance, and a strengthening convention calendar support expectations for Q1 beats and continued momentum into Q2, while longer-term event catalysts underpin sustained demand for the Strip. With bullish TREND and Signal Strength intact, CZR offers attractive risk/reward with ~35–40% upside potential, further supported by takeout optionality even as deal probability remains below 50%.

WEEKEND UPDATE:

CZR remains a Best Idea Long as improving regional gaming trends, digital profit inflection, and the prospect of lower leverage and eventual capital return keep the fundamental acceleration story intact regardless of M&A noise.

- Featured in Sean Jenkins' May 16 domestic gaming deep dive as a Best Idea Long, with Hedgeye arguing CZR offers a clear catalyst path through improving regional trends, digital EBITDA inflection, and a setup for the stock to trade into the $40s with further upside beyond that.
- Recent Fertitta-related M&A headlines have added speculation around the name, but deal odds still appear below 50% based on where the stock has traded, and the core thesis does not depend on a transaction to work.
- Signal Strength remains supportive, reinforcing the view that CZR's combination of regional acceleration, online gaming improvement, and balance sheet repair can drive upside even if takeover chatter fades.

Keith's Real-Time SELL Signal on April 15:

"Another ***Dollar Down, Stocks Up #Quad2 Day*** it is (so far)...

Coaching Notes:

1. Selling-SOME on green like this one so that we can buy more of things that are red
2. We have plenty of inventory to buy/sell, don't forget (See **ETF Pro** and **Signal Strength Stocks**)
3. We have plenty of ***patience*** embedded in both my experience and ***process*** too

I don't chase. Whatever markets moves I "missed" is of no concern to me. Only making the next play in the process is. We're down to 8 Shorts in ETF Pro (we had 27 of them at our peak on April 2nd). Market signals have changed quite a bit since then. We changes as market price, volume, and volatility does,

KM"

TJX

Sector: Retail
Sector Head: Brian McGough

THESIS SUMMARY:

TJX is a long with one of the most defendable models in retail, with durable off-price share gains, strong exposure to higher-income consumers, and a growth algorithm that looks more like a staple than a typical apparel retailer. The company remains a major beneficiary of the ongoing shift away from department stores, and Hedgeye expects TJX to keep accelerating share gains as off-price traffic stays strong and the broader category continues to take apparel wallet share. Even though the stock looks expensive on the surface, that premium is viewed as deserved given TJX's bullish Sigma and RNOA setup, consistent margin expansion, and meaningful long-term upside in the model.

WEEKEND UPDATE:

Keith's Real-Time BUY Signal on April 14:

"WHEN was the last time I sent you a McGough SELL Signal on a Short?

Coaching Notes:

1. Notice how The Signaling Process had us COVER all those ***#Quad3 McGough Shorts*** lower?
2. We only have one left - Bennett's WING, but we're waiting for the new TRR to short that one again
3. Otherwise, McGough's LONG book of ideas is where I'm shopping

This is called a ***Quad Shift,***

KM"

Keith's Real-Time SELL Signal on April 16:

"No bounce where the probability was rising that it should...

Coaching Notes:

1. WHEN something doesn't happen that should, I go with what actually happened
2. As a younger man, I wouldn't
3. Through every mistake I learn how to execute the process with more timely precision

TJX is breaking immediate-term TRADE Signal Support here (and is still Bullish TREND),

KM"

TSN

Sector: Consumer Staples
Sector Head: Daniel Biolsi

THESIS SUMMARY:

TSN has a near-term long setup with reduced industry beef packing capacity from Tyson's plant closure and the temporary JBS strike helped restore packer profitability after a prolonged period of losses, lifting margins sharply and improving the earnings backdrop. The company also gained Signal Strength, while higher beef prices and tighter processing conditions have supported protein pricing, creating a favorable near-term setup for sellers even as the broader cattle market remains tight. The main driver of upside is commodity sensitivity: if Super El Niño conditions develop and push crop and feed costs higher across agriculture, protein inflation can stay elevated and support pricing, though that benefit has to be weighed against Tyson's heavier U.S. exposure and margin risk if input costs rise faster than it can pass them through.

WEEKEND UPDATE:

Keith's Real-Time BUY Signal on April 15:

"Consumer Staples, as a Sector Style, does NOT like ***#Quad2***, but...

Coaching Notes:

1. We still have companies in that Sector that have POD1 (REVENUES) accelerating alongside US Inflation (like TSN, JBS, etc.)
2. Don't confuse the Macro Market moving to 1 Factor (down or up USD and Oil) with the direction of TRENDING Inflation
3. We still have the ***Street High Nowcast*** for April headline Inflation (CPI) and that's why ***1 of our 8 Macro ETF Shorts is TLT,***

KM"

Keith's Real-Time SELL Signal on April 17:

"TSN isn't at the TRR (top-end of its **Risk Range**), but I'd sell-SOME on green today and keep reinvesting in ***Bullish TREND*** tickers that dip...

Coaching Notes:

1. I obviously didn't "nail" this entire bottom to all-time high SPY move, but ..
2. We did cover every short in RTA (other than WING) on time ... and we
3. Did add plenty of ***#Quad2 Long Exposure*** (Bitcoin, XLI, XTL, etc. - see ETF Pro) that helped us diversify more towards #Quad2

QQQ hasn't gone up this many days in a row since coming out of the 2008 Crash in 2009. Not easy to nail. Neither life nor *The Game* is easy. Stay disciplined while people chase,

KM"

ROP

Sector: Industrials
Sector Head: Jay Van Sciver

THESIS SUMMARY:

Roper Technologies (ROP) remains a serial acquisition story that depends on perpetual, near flawless capital allocation and ever larger deals to sustain the growth narrative. The model obscures underlying business quality, limits transparency for investors, and embeds significant execution risk as the pool of suitable assets shrinks. As software moats erode and niche verticals become more substitutable, the durability of Roper's portfolio is increasingly in question. Once the perception of Roper as a low risk compounder breaks, the strategy itself becomes vulnerable.

WEEKEND UPDATE:

ROP remains a high-conviction short as structural concerns around its acquisition-driven model and weakening competitive positioning reinforce downside risk despite prior multiple support.

- The company's growth model is increasingly dependent on large, execution-heavy acquisitions, raising the risk profile as deal sizes scale and integration complexity rises
- Core software assets face rising substitutability risk, with eroding competitive moats undermining the durability of long-term organic growth assumptions

- With fundamentals deteriorating beneath the surface and valuation still reflecting a premium roll-up multiple, ROP remains vulnerable to continued multiple compression and negative estimate revisions

RBLX

Sector: Communications
Sector Head: Andrew Freedman (Communications)

THESIS SUMMARY:

Roblox (RBLX) remains a short with slowing user growth. Freedman's data is pointing to much lower daily active user (DAU) and bookings growth than investors saw last quarter. After a sharp bounce in the stock, expectations remain too high relative to the clear deceleration in engagement trends and post-holiday activity. With growth normalizing and management guiding to slower momentum ahead, the risk is that estimates come down and the stock re-rates lower.

WEEKEND UPDATE:

RBLX remains a short as tougher comparisons, flattening new-user bookings, and renewed regulatory and safety-related friction continue to pressure the growth outlook, with China re-entry still the only potentially meaningful upside catalyst.

- New age-verification tiers for users ages 5–8 and 9–15 are designed to address child-safety concerns, but the changes also add friction by restricting access based on game ratings, developer verification, and real-time behavior monitoring, which could weigh on engagement and monetization at the margin
- The fundamental setup remains challenged by ongoing headline risk, including lawsuits, country-level bans, and hard comps through the rest of the year, leaving little in the way of a clear near-term catalyst outside of recurring China speculation
- Tracker data continues to show a mixed but cautious picture, with bookings from new users flattening while existing-user bookings remain stronger; as those cohort comparisons converge in Q2 and Q3, the market may get a clearer read on whether growth is truly slowing beneath the surface

SPGI

Sector: Financials
Sector Head: Josh Steiner

THESIS SUMMARY:

SPGI is facing a near-term reset as decelerating growth and weaker-than-expected 2026 guidance challenge the operating leverage narrative embedded in the stock. Slowing momentum across key segments, particularly Market Intelligence, signals a negative rate-of-change dynamic that typically drives multiple compression. While the long-term structural story remains intact, the combination of softer guidance, margin pressure, and AI-driven sentiment risk creates downside as expectations recalibrate.

WEEKEND UPDATE:

SPGI remains a short as a below-consensus FY26 guide, margin pressure in key segments, and rising AI-related investment weigh on the operating leverage narrative.

- FY26 EPS guidance of $19.40–$19.65 missed the Street at $19.96, with low-single-digit issuance growth resetting expectations for the high-margin Ratings segment following a strong prior cycle
- Market Intelligence margins compressed to 32.3% from 35.6% QoQ as AI investments were pulled forward, while the segment remains most exposed to generative AI disintermediation risk
- Steepening base effects (+240bps and +250bps in 1Q and 2Q) alongside a historically weak Quad 3 backdrop and added execution risk from the Mobility spin-off keep risk skewed to the downside

ONON

Sector: Retail
Sector Head: Brian McGough

THESIS SUMMARY:

ONON is a short as the CEO departure signals an inflection toward slower growth, while current profitability and expectations remain unsustainably high. With gross margins above 60% and heavily concentrated product exposure, the company faces meaningful downside as scale drives margin normalization and competitive pressures from Nike intensify. In a Quad 3 backdrop with bearish signal strength, decelerating growth and overly optimistic sell-side assumptions set up for estimate cuts and multiple compression.

WEEKEND UPDATE:

ONON remains a short as leadership uncertainty, unsustainable margins, and clear signs of structural deceleration drive a negative inflection in the growth narrative.

- The unexpected CEO departure reinforces concerns around a looming growth slowdown, drawing parallels to prior footwear cycles where leadership changes preceded sharp demand deceleration
- While headline growth has outpaced peers, every region is now decelerating ex-China, with rising accounts receivable (+20% on flat revenue) signaling potential demand quality issues beneath the surface
- Gross margins near ~63% remain structurally unsustainable at scale, with significant downside risk as competition intensifies and industry growth normalizes, challenging the long-term earnings profile

OLLI

Sector: Retail
Sector Head: Brian McGough

THESIS SUMMARY:

OLLI remains a high-conviction short as the company is underperforming despite what should be a peak operating environment, signaling structural weakness in the model. Slowing comps, declining store productivity, and overexpansion into lower-quality locations point to an inevitable trade-off between unit growth and margins. With the business likely transitioning to ex-growth and valuation still in “no man’s land,” the stock faces meaningful downside as multiple compression accelerates.

WEEKEND UPDATE:

OLLI remains a short as weak comp performance in an unusually favorable off-price environment and a looming slowdown in store growth reinforce the view that the business is heading toward multiple compression.

- Despite what appears to be one of the best off-price buying cycles in years, Ollie’s is generating only about 2% comps, suggesting the model is far less resilient than the market gives it credit for and that underlying demand is not especially strong
- Store growth is expected to decelerate sharply from roughly 80 units to roughly 30 next year as the pipeline for cheap real estate dries up, which matters because the concept only works economically when rents stay around its targeted low-cost range

- After already working as a successful short, the stock now sits in what looks like valuation no man's land: either it reaccelerates like a true growth story, which seems unlikely, or it transitions toward ex-growth and deserves a materially lower, potentially single-digit EBITDA multiple

MCO

Sector: Financials
Sector Head: Josh Steiner

THESIS SUMMARY:

MCO remains a tactical short as bearish Trend and Quad 3 dynamics outweigh still-solid fundamentals and earnings momentum. Despite strong results, issuance growth is expected to decelerate into the back half of 2026 while expense growth accelerates, creating a setup for slowing earnings momentum and negative estimate revisions With sentiment and multiple pressure building across Financials in Quad 3, MCO is vulnerable to continued downside as the market reprices growth durability.

WEEKEND UPDATE:

MCO remains a short as a still-solid underlying business is being outweighed by a worsening tactical setup, tougher comparisons, and a multiple that looks vulnerable as growth decelerates into the back half of the year.

- Despite a strong quarter and constructive 2026 guide, the stock remains on the Signal Strength short list and Keith's price/volume/volatility signal recently broke bearish on a Trend duration, suggesting the setup is unfavorable even if the fundamental story has not broken.
- Management's outlook implies a meaningful slowdown later in the year, with issuance growth expected to decelerate in 2H26 and easier base effects rolling off, which makes it harder for the market to keep paying up for a business coming off such a strong stretch.
- The core ratings and analytics franchises remain high quality, but AI-disruption overhang, confirmed KYC-related government headwinds, and signs of expense growth picking up all add pressure to the multiple, making this look more like a timing short than a broken-company short.

HCA

Sector: Healthcare
Sector Head: Tom Tobin

THESIS SUMMARY:

HCA remains a short as weak MA rate relief fails to offset broader structural pressure on hospital reimbursements and payer-driven cost containment. Fundamental trends are deteriorating across key metrics—including same-store admissions, wage inflation, surgical volumes, and real-time traffic data—signaling slowing demand and margin pressure ahead. With Quad 3 macro headwinds and bearish Signal Strength aligned, the setup supports continued downside as earnings expectations reset lower over the next several quarters.

WEEKEND UPDATE:

HCA remains a short as 2025 margin strength looks increasingly unsustainable into 2026, with slower utilization, worsening payer mix, policy pressure, and renewed labor inflation all setting up downside to estimates.

- The core bearish view is that several unusual 2025 tailwinds begin to reverse next year: uninsured volumes likely rebound, employer-sponsored insurance premium inflation is running at 20-year highs, and both Medicaid and exchange enrollment are under pressure, which can hurt utilization, pricing, and bad-debt trends.
- Competition is also rising in outpatient surgery, where HCA's relatively small ASC footprint leaves it more exposed if higher-acuity procedures continue migrating away from hospitals; Hedgeye argues the end of the inpatient-only list could intensify that referral battle in 2026.
- At the same time, costs are no longer helping the story: contract labor savings appear largely exhausted, hospital and ASC wage inflation are both running near 5%, and Hedgeye's model shows some near-term upside to 4Q25 but downside in 2026 as slower volume, slower pricing, and margin de-leverage begin to hit estimates.
- ACA exchange enrollment deterioration driving a front-loaded Q1 volume surge followed by a steep drop-off in advanced premium tax credit flows and rising bad debt

WING

Sector: Restaurants
Sector Head: Bennett Cheer

THESIS SUMMARY:

Wingstop (WING) remains a short as transaction data continues to deteriorate sharply, with recent credit card activity down ~25% YoY and no evidence supporting the Street's expected same-store sales acceleration. Core initiatives—including Smart Kitchen, loyalty, and

increased ad spend—are failing to drive incremental traffic, while promotions appear defensive and margins face pressure. With slowing unit growth, tighter franchise requirements, and a structurally weakening demand outlook, the long-term growth algorithm is likely to reset lower, creating downside risk to both estimates and valuation.

WEEKEND UPDATE:

WING remains a short as weakening demand data, deteriorating unit economics, and a more fragile franchise growth model all point to a lower long-term growth algorithm than the market is still assuming.

- Recent transaction data remains very weak, with credit card transactions down sharply year over year and same-store sales tracking well below expectations, undermining the bullish case that growth will reaccelerate from here
- The more important structural issue is that average unit volumes are declining even as unit growth accelerates, which is a bad combination for a franchised fast-casual concept because it suggests new store growth may be coming at the expense of store-level economics
- Management's other levers look limited, with Smart Kitchen offering little real help, advertising still too narrow to drive meaningful new customer acquisition, and higher franchise qualification standards potentially slowing future conversions and making the long-term store expansion story less durable

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